FREE FINANCING REPORT

Hotel & Hospitality Financing Report

Why This Sector Attracts Specialized Capital, What the 2026 Environment Looks Like, and the Metrics That Drive Approvals

Prepared by K2 Commercial Finance

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Why Sponsors Pursue Hotel & Hospitality Financing

Hotels combine an operating business with real estate, and 2026 is shaping up as a genuine stabilization point after a difficult 2025. That combination — real franchise incentives flowing to quality assets, renewed performance growth, and a deep (if conservative) lending ecosystem — is exactly why hotel financing remains a viable, well-supported category for the right sponsor and the right asset.

- **Franchise incentives can materially improve project economics.** Brands including Hyatt, Hilton, Marriott, and IHG are actively deploying key money — Hyatt alone paid $49 million in the first quarter of 2026, up 172% year-over-year — typically up to about 5% of total deal cost, to attract and retain quality operators.
- **Performance is stabilizing after a reset year.** 2025 saw the industry's first occupancy and RevPAR decline since 2020, but 2026 forecasts point to renewed ADR and RevPAR growth, with momentum building further into 2027.
- **A deep, established lending ecosystem.** Despite being specialized, hotels draw capital from dedicated hospitality lenders, CMBS conduits, life companies, bridge and value-add debt funds, and SBA programs for smaller assets.
- **Growth is concentrated where quality sponsors compete best.** Higher-tier, well-branded hotels are capturing the strongest performance gains, rewarding experienced operators and strong franchise relationships.
- **Positive leverage remains available to conservative borrowers.** Hotel debt currently offers among the widest positive leverage spreads of any commercial real estate sector, meaning well-structured, conservatively leveraged deals can still pencil attractively for disciplined sponsors.

That said, hotel lending remains extremely conservative. Lenders scrutinize STR performance, franchise and PIP documentation, and sponsor experience closely — right now, only well-leased, appropriately leveraged hotels are financing easily.

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2026 Market Outlook for Hotel & Hospitality Financing

The hotel sector enters 2026 turning a corner after a genuinely difficult 2025, even as lenders remain among the most conservative in commercial real estate. The following figures outline where the market stands:

- Hotel performance is stabilizing after a reset year: 2025 marked the industry's first occupancy and RevPAR decline since 2020, but the January 2026 forecast from CoStar and Tourism Economics projects renewed growth — occupancy near 62.1%, ADR up about 1%, and RevPAR up about 0.6% for 2026, accelerating to roughly 1.4% RevPAR growth in 2027.

  Source: CoStar / Tourism Economics, via Hotel Dive, January 2026

- Growth remains concentrated among higher-tier, branded hotels, with momentum expected to build in the second half of 2026 as international travel demand strengthens, including a boost from World Cup host markets.

  Source: CoStar / Tourism Economics, January 2026

- Franchise key money is flowing at real scale to well-positioned assets: Hyatt alone paid $49 million in key money in the first quarter of 2026 — a 172% year-over-year increase — bringing its total key money asset balance to $1.125 billion, while Hilton directs 85% to 90% of its deployed key money toward upscale and luxury hotels and IHG targeted more than half of its key money spending at premium, luxury, and lifestyle properties in 2024–2025.

  Source: Bisnow, Hotel Key Money Spending report, 2026

- Typical key money payments run no more than about 5% of total deal cost, and terms are increasingly tied to defined brand-loyalty periods with repayment or clawback provisions if a franchise agreement ends early.

  Source: Getzler Henrich & Associates, via Bisnow, 2026

- CMBS hotel lending remains extremely conservative: hotel loans currently carry a weighted average 13.8% net cash flow debt yield and a 55.4% cutoff loan-to-value — a profile as conservative as office — though hotels also offer the widest positive leverage spread of any major property sector, at roughly 124 basis points.

  Source: Commercial Observer, 2026 CMBS Cap Rate data

- Lenders remain selective by asset quality: only well-leased, appropriately leveraged hotels are financing easily in the current environment, reinforcing that trailing performance, brand strength, and sponsor experience matter more than ever.

  Source: Commercial Observer, 2026 CMBS Cap Rate data

Bottom line for 2026: This is a genuine stabilization point after 2025's reset, with growth returning but staying concentrated in higher-tier, well-branded assets. Franchise incentives like key money are flowing at real scale to quality projects, but CMBS and conventional hotel lending remains among the most conservative in commercial real estate — trailing STR performance, franchise documentation (including any key money terms), and sponsor experience are what separate financeable deals from difficult ones.

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Critical Financing Metrics for Hotel Properties

Lenders in this space underwrite operating performance and franchise structure as closely as the real estate. The following metrics most often determine whether a request moves forward:

1. **Occupancy, ADR, and RevPAR Trend**
   Trailing 12- to 36-month STR performance versus the competitive set. Property- and market-level trend matters more than the national average.
   ~62.1% occupancy, ~0.6% RevPAR growth (2026 national)

2. **Brand Affiliation and Franchise Strength**
   The strength of the brand flag and franchise agreement terms. Branded assets with solid reservation systems and franchise support generally improve lender comfort, pricing, and available leverage.

3. **Key Money / Franchise Incentive Documentation**
   Terms of any key money or other franchise incentive payments, including repayment or clawback provisions, must be clearly documented for lenders. ≤5% of total deal cost typical

4. **Property Improvement Plan (PIP) Scope and Funding**
   The scope, cost, and funding plan for any brand-mandated renovations or upgrades required at acquisition or refinance.

5. **Sponsor and Management Experience**
   Documented hospitality ownership or operating experience, and the track record of the management company running the property.

6. **Debt Yield and Loan-to-Value**
   Current hotel underwriting runs conservatively in the CMBS market.
   ~13.8% NCF debt yield, ~55.4% cutoff LTV

7. **Debt Service Coverage Ratio (DSCR)**
   Net operating income measured against total annual debt service, generally underwritten more conservatively than most other commercial real estate categories given the operating-business nature of the asset.

These metrics form the practical filter that separates hotel financing requests that get funded from those that stall in underwriting.

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Practical Framework & Getting It Right the First Time

Pre-Submission Checklist

Before approaching lenders, confirm:

- [ ] Trailing 12-month and multi-year operating statements are organized and current
- [ ] STR reports showing occupancy, ADR, RevPAR, and competitive set performance are documented
- [ ] Franchise or brand agreement information is prepared (if applicable)
- [ ] Key money or franchise incentive documentation, including terms and clawback provisions, is complete
- [ ] PIP details and cost estimates are ready (when required)
- [ ] Management company information and track record are presented
- [ ] Sponsor hospitality experience summary is prepared
- [ ] Existing debt schedule, entity documents, and guarantor/liquidity information are current

Common Reasons Hotel Financing Requests Underperform or Get Declined

- Missing or incomplete STR data and trailing performance documentation
- Incomplete franchise agreement or PIP information
- Undocumented key money terms or clawback provisions
- Insufficient sponsor hospitality experience
- Submitting to lenders unfamiliar with hospitality or franchise-structured underwriting

Final Perspective

Hotel financing in 2026 sits at a genuine turning point — performance is stabilizing after 2025's reset, and brands are deploying real capital through key money to well-positioned projects. But the lending environment remains extremely conservative, and only well-prepared, well-leveraged deals are moving smoothly through underwriting.

High-level knowledge of how these loans work is valuable. Turning that knowledge into a funded transaction still requires the right preparation and the right lending relationships.

Getting it right the first time matters. Incomplete STR documentation, undocumented key money terms, and mismatched lenders are among the most common reasons otherwise solid hotel financing requests lose time, money, and momentum.

YOUR NEXT STEP

How the K2 Lender-Ready System Helps

If you're serious about securing financing for commercial property, investment property, or your business, you owe it to yourself to use a system that's been developed over 26 years of commercial mortgage brokering.

This is the exact system K2 Commercial Finance has used to help clients secure more than $100 million in financing. It is designed to save you time, energy, and effort — and to put you immediately in front of the lenders most likely to fund your specific deal.

For $49.99, you get six months of full access to the complete K2 Lender-Ready System — including:

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- **Password-protected Deal Room** — Securely store and share documents in one private workspace.
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- **Submission Tracker** — Know exactly where each file stands so nothing falls through the cracks.

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